5.2.3 Verification and Valuation of Individual Current Assets

Verification and valuation of current assets states that the Balance Sheet shows true and fair view of the financial position of business enterprise. The auditor must satisfy himself that various current assets disclosed in the Balance sheet have been valued according to the Generally Accepted Principles of Accounting.

1. Cash in Hand

The main cash and petty cash in hand are to be physically verified at the closing hours on the last day of the financial year. The auditor has to be very careful while verifying cash-in-hand. Defalcation or embezzlement of cash has become a very common technique of committing fraud. In this regard, the auditor may conduct a surprise verification of cash at any time during the course of audit. Therefore, while verifying cash, the auditor should ensure the following:

1. That the cashier is present at the time of verification.
2. That the temporary advances and payments on suspense accounts are excluded.
3. Count the cash-in-hand at one sitting and compare it with the cashbook balance. Simultaneously a statement is prepared with details of denominations and number of currency notes and coins. Both the cashier and audit staff must sign this statement. The copy of this statement is handed over to the cashier and the auditor may retain the original statement for future reference purpose. If in case of non-agreement of cash balance, the auditor should demand explanation from respective cashier or accountant for non-agreement of physical cash balance and balance as per book.
4. Also count the petty cash book, stamps in hand and IOU's (I Owe You) slips for temporary advances made to the employees. If any discrepancy, he should get a certificate to that effect from the accountant.
5. As far as cash-in-transit is concerned, the auditor should verify this with the help of proper documentary evidences and correspondences.
6. Carryout verification of cash at the end of the year or by way of surprise check at any time during the year. The latter will enable the auditor to detect the embezzlement if any.
7. The practice of keeping large balance of cash on hand is not a sound practice and should be discouraged from the viewpoint of internal control.
8. To prevent difficulties of physically counting the cash, auditor should ask the client to deposit the entire cash Balance on balance Sheet date with a bank.
9. As per the guidelines of Institute of Chartered Accountants of India, the auditor should see whether duties are segregated among different persons to authorise cash transactions.
10. He should ensure that bank reconciliation is prepared periodically.

2. Cash at Bank

For the purpose of verification and valuation of cash at bank, the auditor should take following steps:

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